

- and ETFs, 286
- futures, 37–38, 38*t*
- in bear markets, 284
- in equity futures, 39*t*, 53
- in rates futures, 50*t*
- rates, 41–43
- short, 255
- volatility of, 16
- Currency exposure, 21–23, 79, 270
- Currency sector, 31, 97–98, 110, 113, 170, 187, 226
- Curve trading, 258–259

D

- Data sourcing, 280–281
- Data storage, 281
- Derivatives, 99, 286, 297
- Dimon, Jamie, 291
- Diversification, xii, 5, 50, 137, 265–268.
 - See also* Style diversification
 - as trend-following strategy, 55, 59, 217, 283–284
 - and counter-trend performance, 240
 - and crisis alpha, 90
 - and efficient frontiers, 104
 - and ETFs, 285–286
 - in agricultural sector, 33
 - in currencies sector, 38
 - in equities sector, 39–40
 - in futures space, 65, 283–284, 300
 - need for capital in, 12
 - and negative correlation, 70, 87, 96
 - and portfolio management, 110, 231
 - and required asset base, 265–267
 - and synthetic contracts, 240
- Diversified managed futures, 8–9
- Dividends, 66, 103–104, 108
- dot.com crash (2000), 90–91, 91*f*, 113–114, 117
- Dow Jones Industrial average, 6
- Drawdown mode, 272
- Drawdowns, xii, 76–78, 178–179, 210–211, 220, 229
 - as underwater plots, 86–87
 - and backtesting, 282
 - and compound returns, 94
 - cost of, 127
 - and counter trend performance, 240

- definition of, 16–17
- in BTOP 50 index, 66
- in managed futures funds, 11–12
- length of, 65–68
- and performance fees, 211
- and psychological difference, 18
- and Sharpe ratio, 240
- timing of, 54, 103, 289
- and volatility, 146, 254–255, 259, 260, 273, 297
- Drawdowns, maximum, 8, 47, 66–67, 299
- Dunn World Monetary and Agricultural Program, 8, 63–64, 66

E

- The Edge of Tomorrow* (film), 282
- Efficient frontiers, 96, 104–105
- EMA, *see* Exponential moving average
- EMC, 8
- Equity(-ies), 39–40, 52–53
 - bear markets, 97
 - bull markets, 97
 - futures, 97–98
 - long, 124, 135, 143
 - performance of, 62–67, 90
 - short, 113–114, 122–124, 140, 149, 152
- Equity curve, 62–63, 109
- Equity index futures, 182
 - calculation for, 40
 - in bear markets, 95
 - and interest rates, 27, 39
 - predictability of, 23
 - stock market effect on, 226
- Equity indices, 7–9, 66, 171, 207, 262
 - in bear markets, 156
 - long, 124, 192
 - MSCI World Total Return, 192
 - short, 95, 182, 211
 - tracking, 187, 286
- Equity markets, 110, 148
- Equity portfolios, 70, 103–108, 104*f*, 105*t*
- ETFs (Exchange traded funds), 148, 285–286
- Euribor, 10
- Euro, 115–116, 270
- Euro Stoxx 50 index, 39, 51, 122, 123*f*, 155, 155*f*
- Eurodollar, 41–42, 51, 110, 284
- Europe, 219–220, 269